Type MS · Revenue, costs and profit: meanings and formulas

Answer 1 of 10 · Question 2 part d · 2 marks

2024 NOV · Paper 01 · extract 1 of 6 · find part d in this mark scheme extract

2(a)	**AO2 1 mark** The only correct answer is: **B** Oligopoly A is not correct because only one firm would dominate C is not correct because this is not related to the market share D is not correct because the diagram shows sales and not levels of employment	**(1)**

Question number	Which **one** of the following is a reason why consumers may not maximise their benefit? **Answer**	**Mark**
2(b)	**AO1 1 mark** The only correct answer is: **A** Consumers may not accurately calculate benefits B is not correct because consumers may have habits that are hard to give up C is not correct because consumers do sometimes copy the behaviour of others D is not correct because consumers are not always rational when making decisions	**(1)**

Type MS · Revenue, costs and profit: meanings and formulas

Answer 1 of 10 · Question 2 part d · 2 marks

2024 NOV · Paper 01 · extract 2 of 6 · find part d in this mark scheme extract

Question number	Calculate the **total variable costs** for the firm in the month of September. You are advised to show your working. **Answer**	**Mark**
2(c)	**AO2 2 marks** Award 1 mark for showing the correct calculation €3 000 + €18 000 **(1)** Award 1 mark for calculating total variable costs = €21 000 **(1)** Award 2 marks if total variable costs are correctly calculated as €21 000, even if no calculations are shown Award 1 mark if the total variable costs are calculated as 21 000, even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	What is meant by the term total revenue? **Answer**	**Mark**
2(d)	**AO1 2 marks** Award up to 2 marks for a correct definition The amount of money gained **(1)** from the sale of all products **(1)** Accept any other appropriate response	**(2)**

Question number	Describe **one** feature of a monopoly. **Answer**	**Mark**
2(e)	**AO1 2 marks** Award 1 mark for reference to the feature and 1 mark for development of the feature High barriers to entry **(1)** therefore new firms cannot enter the market **(1)** OR Unique product **(1)** to allow the firm to remain alone in the market **(1)** Accept any other appropriate response	**(2)**

Type MS · Revenue, costs and profit: meanings and formulas

Answer 1 of 10 · Question 2 part d · 2 marks

2024 NOV · Paper 01 · extract 3 of 6 · find part d in this mark scheme extract

Question number	Explain **one** reason why the Italian Government may have introduced legislation that makes it easier for new taxi firms to enter the market. **Answer**	**Mark**
2(f)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • The legislation would increase the competition **(1)** therefore increasing the choice of taxis **(1)** meaning it will be easier for the public to find/hire a taxi **(1)** • The legislation would reduce barriers to entry **(1)** reducing the power of taxi firms to charge high fares **(1)** meaning it would be cheaper for the public to travel **(1)** Accept any other appropriate response	**(3)**

Type MS · Revenue, costs and profit: meanings and formulas

Answer 1 of 10 · Question 2 part d · 2 marks

2024 NOV · Paper 01 · extract 4 of 6 · find part d in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess the effectiveness of trade unions in increasing wages, such as for the transport workers in Germany. **Indicative content**
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Trade unions can help raise wages for workers by putting pressure on employers during negotiations • In this case a major strike was organised by the trade unions, which makes employers more likely to negotiate • Verdi is Germany's second largest trade union, meaning it could have a lot of influence on employers • 2.5 million transport workers were helped by the union, in obtaining a 5.5% pay increase • Therefore, other firms may be willing to discuss wages with trade unions in order to benefit from increased productivity and/or reduced disruption **AO4** • However, the effectiveness of the trade unions depends upon how many members support the strike action • Verdi was aiming to increase wages by 10.5% for transport workers, meaning trade union membership was only partially effective • Workers may not think it worth paying a membership fee to a trade union if it is unable to deliver wage increases • The effectiveness of trade unions may depend on whether firms can pass on increased costs through increased prices, such as higher prices for passengers to travel by train on German railways • The alternative may be reduced profit margins for the transport firms, meaning they would be less likely to agree to pay increases

Type MS · Revenue, costs and profit: meanings and formulas

Answer 1 of 10 · Question 2 part d · 2 marks

2024 NOV · Paper 01 · extract 5 of 6 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Revenue, costs and profit: meanings and formulas

Answer 1 of 10 · Question 2 part d · 2 marks

2024 NOV · Paper 01 · extract 6 of 6 · find part d in this mark scheme extract

Question number	Which **one** of the following is most likely to cause a shift to the left of the demand curve? **Answer**	**Mark**

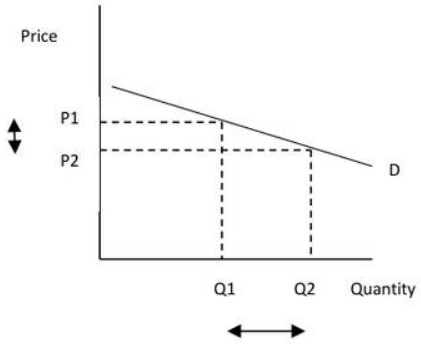
Type MS · Revenue, costs and profit: meanings and formulas

Answer 2 of 10 · Question 3 part b · 1 mark

2020 JAN · Paper 01 (regional R) · extract 1 of 5 · find part b in this mark scheme extract

3(a)	**AO1 1 mark** **A** A higher retirement age	**(1)**

Question number	Answer	Mark
3(b)	**AO1 1 mark** **D** Total costs / Output	**(1)**

Question number	Answer	Mark
3(c)	**AO2 3 marks** Award 1 mark for clearly drawing an elastic demand curve Award 1 mark for showing smaller price change from P_1 to P_2 on the axis Award 1 mark for showing a greater change in the quantity Q_1 to Q_2 on the axis  	**(3)**

Type MS · Revenue, costs and profit: meanings and formulas

Answer 2 of 10 · Question 3 part b · 1 mark

2020 JAN · Paper 01 (regional R) · extract 2 of 5 · find part b in this mark scheme extract

Question number	Indicative content	
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Privatisation is the transfer of activities from the public sector to the private sector • The sale of previously government-owned assets can help the budget of a government • Almost €1bn revenue was raised by the Slovenian Government, meaning that it is able to add funding to the country's pension system, reducing the need to raise taxes • By selling government-owned assets the government may not have as much debt in the future and would therefore reduce interest payments on the national debt • This would allow the government to use any other revenue to support other elements of government spending, such as education or health care	
Level	**Mark**	**Descriptor**
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Revenue, costs and profit: meanings and formulas

Answer 2 of 10 · Question 3 part b · 1 mark

2020 JAN · Paper 01 (regional R) · extract 3 of 5 · find part b in this mark scheme extract

Question number	Indicative content
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Price elasticity of supply (PES) measures the responsiveness of supply to a change in price • A product has an elastic PES if the percentage change in supply is greater than the percentage change in price. The greater the difference, the more price elastic the supply of the product • Supply of cars does not depend on natural factors such as the weather whereas it does for organic strawberries, meaning it is easier to change supply of cars in response to a change in price • Organic strawberries are perishable and need time to grow but cars can be stored, meaning the supply of organic strawberries is less likely to change in response to a change in price compared to the supply of cars • Cars are more price elastic because unless you are operating at full capacity it is possible to work an extra shift and increase production **AO4** • However, it takes time and a large amount of technical equipment to build cars making it more difficult to change production to respond to a change in price • There is a high cost involved when producing cars so firms may not be able to afford to make them to store. This may make the supply of cars less price elastic • It may depend on the growing conditions in the Republic of Korea whether the farms can adjust growing in response to a change in price • There are 28,951 organic farms in the country which may collectively allow the farmers of organic strawberries to be more responsive to price changes • Supply of organic strawberries might be more price elastic in the short run but in the long run car manufacturers may be able to adjust production facilities to respond to changes in price more quickly

Type MS · Revenue, costs and profit: meanings and formulas

Answer 2 of 10 · Question 3 part b · 1 mark

2020 JAN · Paper 01 (regional R) · extract 4 of 5 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Revenue, costs and profit: meanings and formulas

Answer 2 of 10 · Question 3 part b · 1 mark

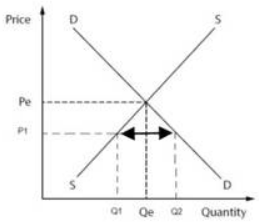
2020 JAN · Paper 01 (regional R) · extract 5 of 5 · find part b in this mark scheme extract

Question number	Answer	Mark

Type MS · Revenue, costs and profit: meanings and formulas

Answer 3 of 10 · Question 2 part c · 1 mark

2020 JAN · Paper 01 · extract 1 of 6 · find part c in this mark scheme extract

2(a)	**AO2 1 mark** **A**  	**(1)**

Question number	Answer	Mark
2(b)	**AO1 1 mark** **B** A factor of production	**(1)**

Question number	Answer	Mark
2(c)	**AO1 1 mark** Award 1 mark for correct formula in words/as an equation Total revenue minus total costs	**(1)**

Question number	Answer	Mark
2(d)	**AO2 2 marks** Award 1 mark for showing correct calculation 36 ÷ 30 **(1)** Award 1 mark for correct price elasticity of supply (PES) = 1.2 **(1)** Award 2 marks if PES is correctly calculated as 1.2, even if no calculations are shown Do not award marks for the formula	**(2)**

Type MS · Revenue, costs and profit: meanings and formulas

Answer 3 of 10 · Question 2 part c · 1 mark

2020 JAN · Paper 01 · extract 2 of 6 · find part c in this mark scheme extract

Question number	Answer	Mark
2(e)	**AO1 1 mark** Award 1 mark for reference to money used by a business Funding for a firm Accept any other appropriate response	**(1)**

Question number	Answer	Mark
2(f)	**AO1 2 marks** Award 1 mark for the type of business competition and 1 mark for development of the response The Irish Artisan Charcoal Company (IACC) is a monopoly **(1)** as there are no other firms producing charcoal in Ireland **(1)** Accept any other appropriate response	**(2)**

Type MS · Revenue, costs and profit: meanings and formulas

Answer 3 of 10 · Question 2 part c · 1 mark

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Question number	Answer	Mark
2(g)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in the context • One reason is that public goods are non-excludable **(1)** meaning that everyone walking/driving along the street would benefit from the lighting **(1)** whether or not they pay anything towards it through taxes **(1)** • One reason is that there is non-rivalry for public goods **(1)** meaning that one person walking/driving along the street is not preventing another person from benefitting from street lighting **(1)** whether or not they pay anything towards it through taxes **(1)** Accept any other appropriate response	**(3)**

Type MS · Revenue, costs and profit: meanings and formulas

Answer 3 of 10 · Question 2 part c · 1 mark

2020 JAN · Paper 01 · extract 4 of 6 · find part c in this mark scheme extract

Question number	Indicative content
2(h)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Small firms can offer a personal service so they can meet the needs of the customer more specifically than large firms • Wonderful Wax produces handmade candles and so the personal service offered maybe more likely to attract customers, bringing in more sales • The service offered by Elissa's small firm could cater for a niche part of the market and so some customers may pay higher prices for the candles • By operating a small firm, Elissa is able to maintain control of her business and help the environment by producing candles made with soy wax and essential oils • Increasing production of the candles may mean they can no longer be handmade and Wonderful Wax may lose its identity **AO4** • However, small firms may struggle to meet demand and so may lose customers • Wonderful Wax could potentially sell many more environmentally-friendly candles through use of the production facilities on offer, thus further meeting Elissa's original objective to help the environment • Unit costs of a small firm are likely to be higher as it cannot exploit economies of scale and therefore the profits might be lower • A large firm is more likely to be able to compete should other firms set up selling environmentally-friendly candles

Type MS · Revenue, costs and profit: meanings and formulas

Answer 3 of 10 · Question 2 part c · 1 mark

2020 JAN · Paper 01 · extract 5 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Revenue, costs and profit: meanings and formulas

Answer 3 of 10 · Question 2 part c · 1 mark

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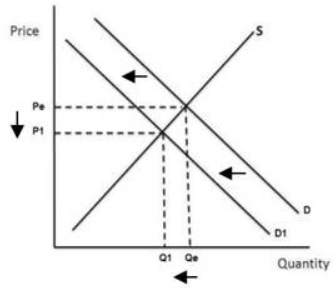
Question number	Answer	Mark

Type MS · Revenue, costs and profit: meanings and formulas

Answer 4 of 10 · Question 1 part c · 2 marks

2020 NOV · Paper 01 (regional R) · extract 1 of 5 · find part c in this mark scheme extract

1(a)	**AO1 1 mark** **B** Secondary	**(1)**

Question number	Answer	Mark
1(b)	**AO2 1 mark** **C** 	**(1)**

Question number	Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to multiplying the price of each unit and 1 mark for reference to the number of units sold The amount of money a firm receives **(1)** from selling its output **(1)** Accept any other appropriate response	**(2)**

Question number	Answer	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct cause Better technology/increased efficiency Accept any other appropriate response	**(1)**

Type MS · Revenue, costs and profit: meanings and formulas

Answer 4 of 10 · Question 1 part c · 2 marks

2020 NOV · Paper 01 (regional R) · extract 2 of 5 · find part c in this mark scheme extract

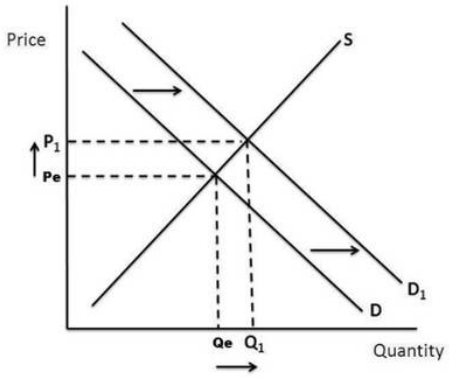
Question number	Answer	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition A benefit to a third party Accept any other appropriate response	**(1)**

Question number	Answer	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 6,000 - (1,200 + 1,450 + 1,625) **(1)** Award 1 mark for correct excess supply = 1,725 tour guides **(1)** Award 2 marks if excess supply is correctly calculated, even if no calculations are shown Do not award marks for the formula	**(2)**

Type MS · Revenue, costs and profit: meanings and formulas

Answer 4 of 10 · Question 1 part c · 2 marks

2020 NOV · Paper 01 (regional R) · extract 3 of 5 · find part c in this mark scheme extract

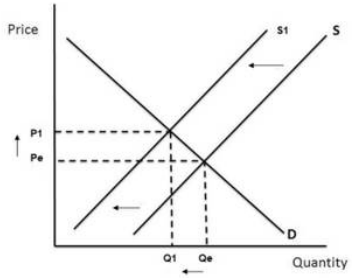
Question number	Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for rightward shift of demand, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Question number	Answer	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying a relevant advantage Award 1 mark for developing the advantage Award 1 mark for the response being in context • One advantage of the takeover may be improved quality **(1)** because Connect Airways may make higher profits **(1)** so it may be able to finance more comfortable airline seats for its passengers **(1)** • One advantage may be economies of scale from the link with Virgin **(1)** because the new airline can buy fuel in bulk at a lower cost **(1)** passengers may then benefit from decreased prices **(1)** Accept any other appropriate response	**(3)**

Type MS · Revenue, costs and profit: meanings and formulas

Answer 4 of 10 · Question 1 part c · 2 marks

2020 NOV · Paper 01 (regional R) · extract 4 of 5 · find part c in this mark scheme extract

Question number	Indicative content
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • The supply curve shows how much of a good that producers are willing and able to supply at different prices over time • Natural factors such as adverse weather could shift the supply curve inwards/to the left • Possible use of a diagram:  • Adverse weather such as a typhoon can reduce supply because it can make it more difficult (destroying property, equipment washed away) to supply and more expensive (costing one restaurant owner between HK$300 000 and HK$400 000) • If it is more difficult and/or more expensive to supply (the quantity supplied is likely to shift from Qe to Q1 on the diagram) • This will therefore result in an increase in the price (from Pe to P1) if demand stays the same

Type MS · Revenue, costs and profit: meanings and formulas

Answer 4 of 10 · Question 1 part c · 2 marks

2020 NOV · Paper 01 (regional R) · extract 5 of 5 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–2**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	**3–4**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	**5–6**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Question number	Answer	Mark

Type MS · Revenue, costs and profit: meanings and formulas

Answer 5 of 10 · Question 2 part b · 1 mark

2021 JUN · Paper 01 · extract 1 of 6 · find part b in this mark scheme extract

2(a)	**AO2 1 mark** The only correct answer is: **C** Y -0.5 A is not correct because it shows elastic demand B is not correct because this shows unitary elasticity D is not correct because the responsiveness is equal	**(1)**

Question Number	Which **one** of the following is the formula for calculating average cost? Answer	Mark
2(b)	**AO1 1 mark** The only correct answer is: $\frac{\text{Total cost}}{\text{Quantity produced}}$ **C** A is not correct because not only fixed cost is included B is not correct because revenue is not used in this calculation D is not correct because not only variable cost is included	**(1)**

Question Number	State **one** reason why governments intervene in the economy. Answer	Mark
2(c)	**AO1 1 mark** Award 1 mark for a suitable reason • To correct market failure • Lack of competition • Lack of information Accept any other appropriate response	**(1)**

Type MS · Revenue, costs and profit: meanings and formulas

Answer 5 of 10 · Question 2 part b · 1 mark

2021 JUN · Paper 01 · extract 2 of 6 · find part b in this mark scheme extract

Question Number	Calculate the **profit or loss** for the firm for each pair of shoes. You are advised to show your working. Answer	Mark
2(d)	**AO2 2 marks** Award 1 mark for showing correct calculation $89 - ($17 + $35) **(1)** Award 1 mark for correct profit = $37 **(1)** Award 2 marks if profit is correctly calculated as $37, even if no calculations are shown Award 1 mark if the answer given is 37 with or without calculations shown Do not award marks for a formula	**(2)**

Question Number	Define the term fine. Answer	Mark
2(e)	**AO1 1 mark** Award 1 mark for a correct definition A financial penalty Accept any other appropriate response	**(1)**

Question Number	Describe **one** benefit to consumers of privatisation. Answer	Mark
2(f)	**AO1 2 marks** Award 1 mark for reference to the benefit and 1 mark for development of the benefit Firms are likely to offer lower prices **(1)** because they are trying to attract custom away from competitors **(1)** Accept any other appropriate response	**(2)**

Type MS · Revenue, costs and profit: meanings and formulas

Answer 5 of 10 · Question 2 part b · 1 mark

2021 JUN · Paper 01 · extract 3 of 6 · find part b in this mark scheme extract

Question Number	Explain **one** reason why Microsoft might have patents on its designs. Answer	Mark
2(g)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is that it would prevent competitors copying the designs **(1)** meaning Microsoft could charge higher prices to help recover the cost of research and development **(1)** needed to create the new computer software **(1)** Accept any other appropriate response	**(3)**

Type MS · Revenue, costs and profit: meanings and formulas

Answer 5 of 10 · Question 2 part b · 1 mark

2021 JUN · Paper 01 · extract 4 of 6 · find part b in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess whether a firm, such as a fast food restaurant, always benefits from using division of labour. Indicative content
2(h)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Division of labour is where the production process is split into small tasks • It means that each worker can specialise on a single part of the production process, such as chopping lettuce to put in burgers or peeling potatoes to make the fries • This means they can become more skilled at that particular task and removes the need to move around the kitchen as much • Employees are therefore much faster, increasing efficiency and reducing cost per unit for firms • Employees may also enjoy their job more because they are better at it, making them more motivated and increasing productivity • Therefore customers at the fast food restaurants can be served more quickly, in-keeping with the concept of 'fast food' and leading to higher profits for the firm **AO4** • However, employees may find repeating the same task boring, especially if it is something straightforward such as frying burgers • Therefore they may actually become demotivated instead and this could increase staff turnover • This could lead to a decrease in productivity and/or higher costs for the restaurant if it needs to replace employees • Mistakes or slow production at one stage (such as chopping lettuce) may hold up a later stage and therefore customers would still need to wait for their orders

Type MS · Revenue, costs and profit: meanings and formulas

Answer 5 of 10 · Question 2 part b · 1 mark

2021 JUN · Paper 01 · extract 5 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Revenue, costs and profit: meanings and formulas

Answer 5 of 10 · Question 2 part b · 1 mark

2021 JUN · Paper 01 · extract 6 of 6 · find part b in this mark scheme extract

Question Number	Which **one** of the following factors may cause a shift of the demand curve? Answer	Mark

Type MS · Revenue, costs and profit: meanings and formulas

Answer 6 of 10 · Question 1 part i · 6 marks

2022 JUN · Paper 01 (regional R) · extract 1 of 5 · find part i in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **A** Division of labour B is not correct because this is creating products from new ideas C is not correct because this is using more labour during production than capital D is not correct because this relates to the rate of production due to given resources	**(1)**

Question number	Answer	Mark
1(b)	**AO2 1 mark** The only correct answer is: **D** Total revenue A is not correct because this is $10 B is not correct because only variable costs are shown, not fixed costs C is not correct because this would be total revenue – total costs	**(1)**

Question number	Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to an increase in demand and 1 mark for reference to decreased income Goods for which demand will increase **(1)** as incomes decrease **(1)** **OR** Goods for which demand will decrease **(1)** as incomes increase **(1)** Accept any other appropriate response	**(2)**

Type MS · Revenue, costs and profit: meanings and formulas

Answer 6 of 10 · Question 1 part i · 6 marks

2022 JUN · Paper 01 (regional R) · extract 2 of 5 · find part i in this mark scheme extract

Question number	Answer	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct reason • Negative advertising • Fall in income • Negative fashion/taste change • Fall in price of substitute goods • Rise in price of complementary goods • Decrease in the population Accept any other appropriate response	**(1)**

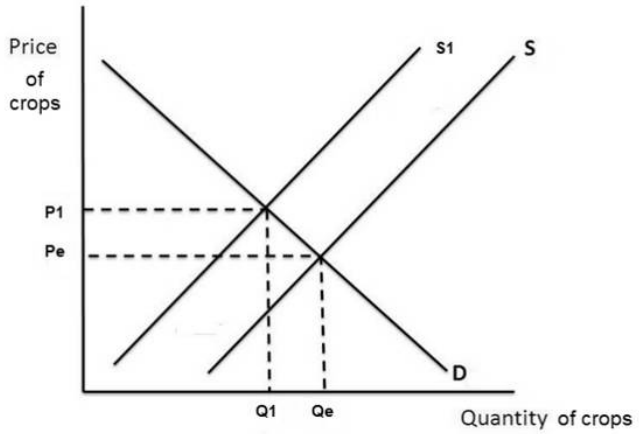
Question number	Answer	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition Converting resources into goods or services Accept any other appropriate response	**(1)**

	Answer	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation -2.1%/1.6% **(1)** Award 1 mark for correct PED = -1.31 **(1)** Award 2 marks if PED is correctly calculated as -1.31, even if no calculations are shown Do not award marks for a formula	**(2)**

Type MS · Revenue, costs and profit: meanings and formulas

Answer 6 of 10 · Question 1 part i · 6 marks

2022 JUN · Paper 01 (regional R) · extract 3 of 5 · find part i in this mark scheme extract

Question number	Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for leftward shift of supply, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for lower equilibrium quantity, labelled  	(3)

Question number	Answer	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying a reason Award 1 mark for developing the response Award 1 mark for the response being in context • As China has become more developed, demand for services has increased **(1)** because people demand more of things like education and health care as the economy grows **(1)** therefore employment is likely to transfer from the primary sector towards the tertiary sector **(1)** Accept any other appropriate response	(3)

Type MS · Revenue, costs and profit: meanings and formulas

Answer 6 of 10 · Question 1 part i · 6 marks

2022 JUN · Paper 01 (regional R) · extract 4 of 5 · find part i in this mark scheme extract

Question number	Indicative content
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • It is an economic assumption that businesses aim to maximise profits • It may take time to find suitable ways of reducing the overall amount of plastic used by 100,000 tonnes, which is likely to result in higher costs • By reducing the amount of non-recyclable plastic packaging it uses, Unilever is likely to incur higher costs as it uses the more expensive recyclable plastic • Unilever may need to source alternative suppliers to replace the remaining 600,000 tonnes of plastic packaging • This means that Unilever will not maximise profits

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Revenue, costs and profit: meanings and formulas

Answer 6 of 10 · Question 1 part i · 6 marks

2022 JUN · Paper 01 (regional R) · extract 5 of 5 · find part i in this mark scheme extract

Question number	Answer	Mark

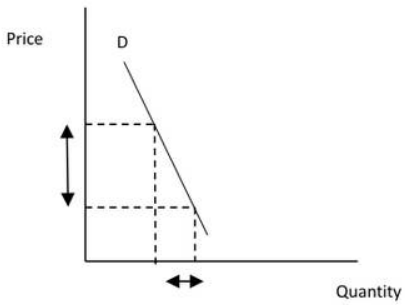
Type MS · Revenue, costs and profit: meanings and formulas

Answer 7 of 10 · Question 3 part b · 1 mark

2024 JUN · Paper 01 (regional R) · extract 1 of 5 · find part b in this mark scheme extract

3(a)	**AO1 1 mark** The only correct answer is: A Farmer B is not correct because this is secondary C is not correct because this is tertiary D is not correct because this is the tertiary sector	**(1)**

Question number	Total revenue can be defined as the quantity of goods sold **Answer**	**Mark**
3(b)	**AO1 1 mark** The only correct answer is: **C** multiplied by the price A is not correct because this does not allow total revenue to be calculated B is not correct because this does not define total revenue D is not correct because this does not calculate revenue	**(1)**

Question number	Using the diagram below, draw a diagram to show a demand curve that has price inelastic demand. Label the curve and show the impact on both axes from a change in price. **Answer**	**Mark**
3(c)	**AO2 3 marks** Award 1 mark for drawing inelastic demand curve, labelled Award 1 mark for showing greater price change on the axis Award 1 mark for showing a smaller change in the quantity on the axis  	**(3)**

Type MS · Revenue, costs and profit: meanings and formulas

Answer 7 of 10 · Question 3 part b · 1 mark

2024 JUN · Paper 01 (regional R) · extract 2 of 5 · find part b in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse the possible advantages of privatisation for TAP Air. **Indicative content**
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Privatisation is the act of selling a firm controlled by the government to private investors • TAP Air may benefit from investment in the airline from private investors wanting to put a structure in place capable of maximising profit • This means that there may be more money available to allow the airline to become more established and increase sales of flights to passengers, possibly expanding further than the operations in Portugal • In addition, an objective of profit maximisation may enable efficiency to improve within the airline and lower costs • Greater efficiency may also be enjoyed through less bureaucracy and political interference from the Portuguese Government, especially if the new owners are more experienced in operating an airline

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Revenue, costs and profit: meanings and formulas

Answer 7 of 10 · Question 3 part b · 1 mark

2024 JUN · Paper 01 (regional R) · extract 3 of 5 · find part b in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess whether an increase in the price of Prime Hydration is always likely to lead to an increase in total revenue for retailers. **Indicative content**
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Price elasticity of demand (PED) measures the responsiveness of demand to a change in price • A product has an inelastic PED if the percentage change in demand is less than the percentage change in price. The greater the difference, the more price inelastic the demand for the product • At its launch, Prime Hydration was very popular, especially with teenagers, in part due to the association with celebrities KSI and Logan Paul • These factors are likely to lead to an inelastic PED, especially due to the lack of substitutes and relatively low proportion of income spent on the drink • When there is a price increase, for example from £1.99 to £8.25 (315% increase), a product with an inelastic PED is likely to lead to a higher total revenue • This is due to demand falling by a lower percentage than the increase in price • Therefore, retailers selling Prime Hydration at increased prices are likely to receive more in total revenue **AO4** • However, if availability is not guaranteed, products cannot be sold and revenue cannot be gained • Over time demand is likely to become more price elastic • This may be due to consumers finding alternative products, supply increasing or because the drink may go out of fashion and/or the YouTube celebrities may no longer be as popular • It may depend on how much the price increases because demand is based on a consumer's ability and willingness to buy the drink • Therefore, if the price was increased too much, some consumers would no longer be able to afford to buy the drink and some would no longer be willing, as other products would be more of a necessity • As a result, an increase in price of Prime Hydration may only lead to an increase in total revenue in the short term

Type MS · Revenue, costs and profit: meanings and formulas

Answer 7 of 10 · Question 3 part b · 1 mark

2024 JUN · Paper 01 (regional R) · extract 4 of 5 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Revenue, costs and profit: meanings and formulas

Answer 7 of 10 · Question 3 part b · 1 mark

2024 JUN · Paper 01 (regional R) · extract 5 of 5 · find part b in this mark scheme extract

Question number	Calculate the **total variable costs** of this order for the firm. You are advised to show your working. **Answer**	**Mark**

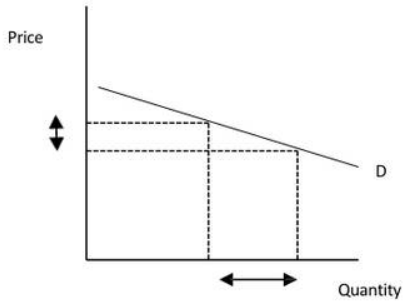
Type MS · Revenue, costs and profit: meanings and formulas

Answer 8 of 10 · Question 3 part b · 1 mark

2024 JUN · Paper 01 · extract 1 of 5 · find part b in this mark scheme extract

3(a)	**AO1 1 mark** The only correct answer is: **B** The school-leaving age A is not correct because this would increase the supply of labour C is not correct because this would mean more people were available to work D is not correct because this would affect the demand for labour	**(1)**

Question number	Which **one** of the following is the formula to calculate total revenue? **Answer**	**Mark**
3(b)	**AO1 1 mark** The only correct answer is: **A** Quantity sold x price B is not correct because this does not allow revenue to be calculated C is not correct because this does not account for units sold D is not correct because this does not calculate revenue	**(1)**

Question number	Using the diagram below, draw a price elastic demand (PED) curve. Label the curve and show the impact on both axes from a change in price. **Answer**	**Mark**
3(c)	**AO2 3 marks** Award 1 mark for drawing elastic demand curve, labelled Award 1 mark for showing smaller price change on the axis Award 1 mark for showing a greater change in the quantity on the axis 	**(3)**

Type MS · Revenue, costs and profit: meanings and formulas

Answer 8 of 10 · Question 3 part b · 1 mark

2024 JUN · Paper 01 · extract 2 of 5 · find part b in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse the possible advantages for Coca-Cola of using division of labour at the factory. **Indicative content**
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Division of labour involves breaking down the production process into smaller tasks • Each worker specialises in only one task, such as filling bottles, sealing with caps or adding labels • By specialising, efficiency is improved because workers can carry out these tasks more quickly, allowing more than one million drinks to be bottled each day • This leads to an increase in productivity and lower average costs of production of drinks such as Fanta and Sprite • The 1,000 workers do not need to waste time moving across the 65,000m^2 site between tasks and so greater efficiencies are created, again lowering average production costs

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Revenue, costs and profit: meanings and formulas

Answer 8 of 10 · Question 3 part b · 1 mark

2024 JUN · Paper 01 · extract 3 of 5 · find part b in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess whether supply is likely to be more price elastic for textiles than for agricultural products. **Indicative content**
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Price elasticity of supply (PES) measures the responsiveness of supply to a change in price • PES is affected by how quickly and easily supply can change when price changes • A product has an elastic PES if the percentage change in supply is greater than the percentage change in price. The greater the difference, the more price elastic the supply of the product • Supply of textiles does not depend on natural factors like the weather whereas it does for agricultural products, meaning it is easier to change supply of textiles in response to a change in price • Agricultural products, such as fruit, are perishable as well as needing time to grow but textiles can be stored, meaning the supply of agricultural products is less likely to change in response to a change in price compared to the supply of textiles • Supply of textiles is more price elastic because, unless you are operating at full capacity it is possible to work an extra shift and increase production **AO4** • However, if operating at full capacity, it takes time and a range of machinery to produce textiles, making it more difficult to change production to respond to a change in price • The cost involved when producing textiles means firms may not be able to afford to produce them to store. This may make the supply of textiles less price elastic • It may depend on the growing conditions in Bangladesh whether the farmers can adjust growing in response to a change in price • Supply of agricultural products might be more price inelastic in the short run but in the long run producers may be able to adjust techniques to respond to changes in price more quickly

Type MS · Revenue, costs and profit: meanings and formulas

Answer 8 of 10 · Question 3 part b · 1 mark

2024 JUN · Paper 01 · extract 4 of 5 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Revenue, costs and profit: meanings and formulas

Answer 8 of 10 · Question 3 part b · 1 mark

2024 JUN · Paper 01 · extract 5 of 5 · find part b in this mark scheme extract

Question number	Calculate the **daily total costs** of transporting the goods to the customer. You are advised to show your working. **Answer**	**Mark**

Type MS · Revenue, costs and profit: meanings and formulas

Answer 9 of 10 · Question 2 part b · 1 mark

2025 JUN · Paper 01 (regional R) · extract 1 of 5 · find part b in this mark scheme extract

2(a)	**AO2 1 mark** The only correct answer is: **A** W -1.5 B is not correct because this shows unitary elasticity C is not correct because it shows inelastic demand D is not correct because it is perfectly inelastic	**(1)**

Question number	Which **one** of the following is the formula for calculating average cost? **Answer**	**Mark**
2(b)	**AO1 1 mark** The only correct answer is: **A** Total cost ÷ quantity produced B is not correct because only fixed cost is included C is not correct because only variable cost is included D is not correct because revenue is not used in this calculation	**(1)**

Question number	Calculate the **profit or loss** for the firm for each calculator. You are advised to show your working. **Answer**	**Mark**
2(c)	**AO2 2 marks** Award 1 mark for showing the correct calculation $12.50 - ($3.25 + $4.58) **(1)** Award 1 mark for calculating correct profit = $4.67 **(1)** Award 2 marks if profit is correctly calculated as $4.67, even if no calculations are shown Award 1 mark if the answer given is 4.67 with or without calculations shown Do not award marks for a formula	**(2)**

Question number	What is meant by the term patent?	**Mark**

Type MS · Revenue, costs and profit: meanings and formulas

Answer 9 of 10 · Question 2 part b · 1 mark

2025 JUN · Paper 01 (regional R) · extract 2 of 5 · find part b in this mark scheme extract

	Answer	
2(d)	**AO1 2 marks** Award up to 2 marks for a correct definition A licence to be the only producer **(1)** of a newly designed product **(1)** Accept any other appropriate response	**(2)**

Question number	Describe **one** advantage to a firm of being privatised. **Answer**	**Mark**
2(e)	**AO1 2 marks** Award 1 mark for reference to the advantage and 1 mark for development of the advantage The firm is able to set its own objectives **(1)** as it takes control over its own actions **(1)** Accept any other appropriate response	**(2)**

Question number	Explain **one** reason why the US Government may use fines to reduce the negative externalities caused by motorists who drive through a red traffic light. **Answer**	**Mark**
2(f)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • It may encourage the driver to stop. **(1)** As driving through a red traffic light may cause accidents, **(1)** fines are likely to reduce the number of accidents **(1)** • It may reduce accidents **(1)** because the driver does not want to be fined, **(1)** so they are less likely to drive through a red light **(1)** Accept any other appropriate response	**(3)**

Type MS · Revenue, costs and profit: meanings and formulas

Answer 9 of 10 · Question 2 part b · 1 mark

2025 JUN · Paper 01 (regional R) · extract 3 of 5 · find part b in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess whether a car manufacturer always benefits from using division of labour. **Indicative content**
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • By using division of labour each worker at the car manufacturing firm can specialise on a single part of the production process, such as inspection or testing • This means they can become more skilled at that particular task and removes the need to move around the factory as much • Employees are therefore much faster, increasing efficiency and reducing cost per unit for firms • Therefore, car dealers buying the vehicles and their customers can be sold the cars more quickly and/or at lower prices, potentially leading to higher revenue for the car manufacturing firm **AO4** • However, employees may find repeating the same task boring, especially if it is something straightforward such as welding a specific component • Therefore, they may actually become demotivated instead and this could increase staff turnover • This could lead to a decrease in productivity and/or higher costs for the car manufacturer if it needs to replace employees • Mistakes or slow production at one stage (such as painting) may hold up a later stage and therefore customers would still need to wait for their car orders

Type MS · Revenue, costs and profit: meanings and formulas

Answer 9 of 10 · Question 2 part b · 1 mark

2025 JUN · Paper 01 (regional R) · extract 4 of 5 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Revenue, costs and profit: meanings and formulas

Answer 9 of 10 · Question 2 part b · 1 mark

2025 JUN · Paper 01 (regional R) · extract 5 of 5 · find part b in this mark scheme extract

Question number	Which **one** of the following could cause a shift in the demand curve for a product? **Answer**	**Mark**

Type MS · Revenue, costs and profit: meanings and formulas

Answer 10 of 10 · Question 1 part c · 2 marks

2025 NOV · Paper 01 · extract 1 of 5 · find part c in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **C** Secondary A is not correct because this is not a sector of the economy in which production occurs B is not correct because this would involve the extraction of raw materials D is not correct because this involves the use of services	**(1)**

Question number	Wood is an example of which **one** of the following factors of production? **Answer**	**Mark**
1(b)	**AO2 1 mark** The only correct answer is: **D** Land A is not correct because this would be man-made B is not correct because this would be the combining of factors C is not correct because this would include workers	**(1)**

Question number	What is meant by the term total costs? **Answer**	**Mark**
1(c)	**AO1 2 marks** Award up to 2 marks for a correct definition (Total) fixed costs plus **(1)** (total) variable costs **(1)** Accept any other appropriate response	**(2)**

Type MS · Revenue, costs and profit: meanings and formulas

Answer 10 of 10 · Question 1 part c · 2 marks

2025 NOV · Paper 01 · extract 2 of 5 · find part c in this mark scheme extract

Question number	State the formula for social benefits. **Answer**	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct formula Private benefits + external benefits Accept any other appropriate response	**(1)**

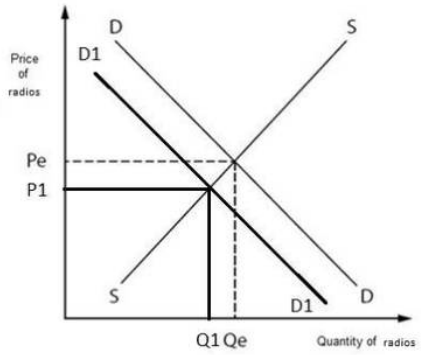
Question number	Define the term substitute good. **Answer**	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition Goods bought as a suitable alternative to another good Accept any other appropriate response	**(1)**

Question number	Calculate the **excess demand** in March for the sunglasses. You are advised to show your working. **Answer**	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 1,350 - (639 + 715 + 516) **(1)** **OR** 1,350 - 1,870 **(1)** Award 1 mark for calculating correct excess demand = 520 (pairs of sunglasses) **(1)** Award 2 marks if excess demand in March is correctly calculated as 520 even if no calculations are shown Do not award marks for the formula	**(2)**

Type MS · Revenue, costs and profit: meanings and formulas

Answer 10 of 10 · Question 1 part c · 2 marks

2025 NOV · Paper 01 · extract 3 of 5 · find part c in this mark scheme extract

Question number	Using the diagram below, draw the likely effect on the market for radios following a fall in their popularity. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	**Mark**
1(g)	**AO2 3 marks** Award 1 mark for a leftward shift of the demand curve, labelled Award 1 mark for a lower equilibrium price, labelled Award 1 mark for a lower equilibrium quantity, labelled  	**(3)**

Question number	Explain **one** reason why consumers may benefit as a result of mergers in the pharmaceutical industry. **Answer**	**Mark**
1(h)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • Economies of scale may occur as a result of a merger **(1)** because the new and larger pharmaceutical firms may be able to buy ingredients in bulk at a lower cost **(1)** meaning consumers may benefit from lower prices being passed on by the firms **(1)** Accept any other appropriate response	**(3)**

Type MS · Revenue, costs and profit: meanings and formulas

Answer 10 of 10 · Question 1 part c · 2 marks

2025 NOV · Paper 01 · extract 4 of 5 · find part c in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse the possible disadvantages faced by consumers from collusion between firms that provide accommodation for rent. **Indicative content**
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • The anti-competitive practice of collusion means firms are able to act like a monopoly • This means it is more difficult for new firms to enter the market and reduces choice for consumers/tenants • Collusion to fix prices could lead to firms receiving higher profits at the expense of the tenant, who may have to pay more in rent • Therefore, this could make it more difficult for tenants to find cheaper accommodation or to have a choice of the firm they rent from • As many tenants are struggling to afford the rent they pay and over 1 million properties are affected, the impact on consumers is likely to be considerable

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Revenue, costs and profit: meanings and formulas

Answer 10 of 10 · Question 1 part c · 2 marks

2025 NOV · Paper 01 · extract 5 of 5 · find part c in this mark scheme extract

Question number	Which **one** of the following is the correct label to replace 'X'? **Answer**	Mark